Meta Platforms (META) - Earnings Update

3Q26 results (quarter to 30 September 2026) | Post-call version | 22 October 2026 | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis: Ads compounding in the mid-to-high 20s % fund an AI build that can run hot without hurting AA- credit; the stock trades on the size of the 2027 capex number.

Thesis status: Monitoring (one pillar Challenged, two Confirmed, one Unresolved)

Versus expectations: Quarter: beat on revenue ($64.60bn vs $63.2bn LSEG, above the $61-64bn guide); GAAP EPS $3.83 vs headline LSEG consensus $5.75 (set before the charge); in line with the only charge-inclusive estimate found ($3.79 BofA). Outlook: above on 4Q revenue ($73-76bn, +22-27% YoY); in line on 2026 capex (low end raised to $135bn); no 2027 capex number, which the stock was trading on. Shares -6.5% intraday 22 Oct ($652.03 at about 9:50 am ET).

Biggest changes

- Funding turned: free cash flow negative $2.12bn (first negative quarter in the five quarters reviewed) and net debt ~$1.2bn; capex was 106% of operating cash flow.
- Meta created a non-voting Class C stock for capital raising, among other purposes (also employee compensation, acquisitions, general corporate purposes) (effective 19 Jan 2027): equity is now a named funding source for compute.
- Off-balance-sheet obligations jumped again: leases not yet commenced $355.7bn (+$76.7bn QoQ, 3.4x year-end), non-cancelable commitments $454.5bn (+$105.2bn; mostly third-party cloud), maximum RVG $41.5bn after the El Paso (Texas) JV.
- New lease and commitment categories: 'energy-related infrastructure' and 'energy service agreements for data centers' now appear in the notes; Meta is contracting power as well as halls.
- Inference economics moved centre stage: Muse is 'very compute intensive'; management targets >10x cost efficiency within a year and wants to sell 'high margin inference'.

Investor takeaway: The consensus view should shift from 'cash-funded build' to 'externally funded build': long-term ad compounding holds, but Meta is now a net borrower with ~$825bn of off-balance-sheet commitments (gross, components may overlap: uncommenced leases, purchase commitments, contingent cloud) and an equity tool for capex, so credit quality is weakening at the margin.

What to monitor next quarter

- 4Q26 call (late January 2027): 2027 capex and expense guide vs ~$193-205bn street range.
- Any Class C issuance, new bond deal or third JV/SPV; pricing vs the April 2026 curve (T+53 to T+147bp).
- 4Q26 FCF (implied 4Q capex $49-59bn vs ~$33bn quarterly operating cash flow) and the New Mexico appeal bond.

2 Key changes this quarter

Pillar scorecard against the pre-results consensus card (META_Consensus_Thesis_3Q26.md).

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Ads fund the build	Revenue ~$63.2bn; high-20s growth	$64.60bn, +26% YoY; 4Q guide $73-76bn (+22-27%)	Confirmed	3Q26 8-K
P2 Capex top of range; 2027 ~$193-205bn	2026 $140-145bn (BofA); 2027 guide	2026 $135-145bn; implied 4Q $49-59bn; 2027 deferred to 4Q call	Unresolved	8-K; call
P3 Funded by OCF + debt + JVs, AA- intact	FCF thin but positive	FCF -$2.12bn; net debt ~$1.2bn; Class C for capital raising among other purposes; CDS record 108bp (Oct)	Challenged	8-K; 10-Q; press
P4 D&A compresses 2027 margins	~40% 2027 expense growth	D&A +44% YoY; op. margin ex-charge 35% vs 40%; no 2027 guide	Confirmed	8-K
P5 Third-party capacity a bridge	CoreWeave/Nebius share; Meta Compute	Commitments $454.5bn, mostly 3rd-party cloud; due 2027 $121.4bn (from $81.7bn)	Confirmed	10-Q Note 10

	Observation
Emphasized more	Muse (consumer agent), compute cost efficiency (>10x in a year), 'high margin inference', enterprise platform/API, Class C capital flexibility

	Observation
Emphasized less / dropped	Selling compute directly (2Q26: offers at a 'meaningful premium'); 'Meta Compute' branding; 2028 flexibility framing; BlackRock-style partnerships not repeated
KPIs more important	Capex vs OCF; leases not commenced; commitments due next year; RVG; net debt; D&A
KPIs less important	DAP (+3%, mature); Reality Labs loss (now guided down to ~$15bn in 2027)
Risks up	Funding/refinancing; off-balance-sheet RVG; legal cash (NM $25bn); depreciation
Risks down	Supply/capacity (management confident in 'current capacity and what is scheduled')

→ Narrative shift: management moved from 'capacity is tight and we get offers at a premium' (2Q26) to 'compute efficiency' and 'a diverse pool of funding sources' (3Q26). The constraint it talks about is now cost, not supply.

Analyst focus matrix (Trevor): questions touching each topic, 4Q25-3Q26

Topic	4Q25	1Q26	2Q26	3Q26	Trend
Capex level / 2027 capex	0	2	2	1	Persistent
Funding, FCF, capital structure	2	0	2	1	Persistent
Third-party capacity / selling compute	1	0	1	0	Fading
Compute cost / inference efficiency	1	0	0	3	New, rising
AI monetization (Muse, API, enterprise)	2	4	2	6	Rising
Core ads and recommendations	3	3	1	1	Fading
JVs, leases, RVG (off-balance-sheet)	1	0	0	0	Absent
Depreciation / GPU useful life	0	0	0	0	Never asked

Trevor's watch-list

Analyst	Qtr	Question (trimmed)	Answer in brief	Rating
Eric Sheridan (Goldman)	2Q26	Mix of debt and equity; sources of capital	OCF strong; more long-duration debt; partnerships (BlackRock)	Partial
Eric Sheridan (Goldman)	3Q26	Class C and sources of capital for AI	For raising capital etc.; 'no specific financing plans'	Partial
Doug Anmuth (JPM)	4Q25	Positive FCF in 2026? Future JVs?	Cash generation sufficient; exploring structures	Partial
Doug Anmuth (JPM)	2Q26	Selling compute while buying third-party	Not enough compute; portfolio of uses	Direct
Doug Anmuth (JPM)	3Q26	Framework for 2027 capex and expenses	Too early; guidance on 4Q call	Deflected
Brian Nowak (MS)	2Q26	2027 capex and financing philosophy	No 2027 outlook; near-term capacity worth more	Deflected
Ross Sandler (Barclays)	3Q26	Per-user cost of Muse and cost curve	No numbers; off-peak capacity, smaller models	Partial

Trevor's pick: Eric Sheridan (Goldman Sachs) presses hardest on funding, asking about sources of capital in 2Q26 and 3Q26. Doug Anmuth (JPMorgan) is the backup, with FCF/JVs in 4Q25 and 2027 capex in 3Q26. Nobody has asked about depreciation lives, the RVGs or the $355.7bn of uncommenced leases.

3 KPI dashboard

Metric ($bn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue	64.60	60.80	51.24	+6.3% / +26.1% [↑]	Steady high-20s
Advertising revenue	63.06	n.a.	50.08	n.a. / +25.9% [↑]	Price +14%, impr. +10%
Operating margin (GAAP)	20%	31%	40%	-11pp / -20pp [↓]	Legal charges
Operating margin ex-legal charge	35%	n.a.	40%	n.a. / -5pp [↓]	D&A and cloud
FoA operating income	17.12	23.39	24.97	-27% / -31% [↓]	Incl. $9.89bn charge
Capex incl. finance-lease principal	34.91	31.08	19.37	+12.3% / +80.2% [↓]	Rising
Operating cash flow	32.79	31.86	30.00	+2.9% / +9.3% [~]	Flat ~$32bn
Free cash flow	-2.12	0.78	10.63	neg. / neg. [↓]	First negative
Capex / operating cash flow	106%	98%	65%	+8pp / +42pp [↓]	Above 100%
Depreciation and amortization	7.15	6.36	4.96	+12.6% / +44.1% [↓]	Accelerating
Cash and marketable securities	82.45	90.26	44.45	-8.7% / +85% [~]	Debt-funded

Metric ($bn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Debt (carrying)	83.67	83.66	28.83	0% / +190% [↓]	Two jumbo deals
Net cash (debt)	(1.22)	6.60	15.62	flips to net debt [↓]	First net debt
Interest expense on notes ($mn)	882	754	205	+17% / +330% [↓]	Rising
Leases not yet commenced	355.73	278.99	n.a.	+27.5% / 3.4x YE25 [↓]	103.77 at YE25
Non-cancelable commitments	454.52	349.31	n.a.	+30.1% / 3.5x YE25 [↓]	131.05 at YE25
of which due next year (2027)	121.41	81.65	n.a.	+48.7% [↓]	Cloud capacity
Max. residual value guarantees	41.49	n.a.	n.a.	28.09 at YE25 [↓]	Texas JV added
Contingent cloud purchase	14.72	14.72	n.a.	unchanged [~]	Resale backstop
Construction in progress	89.50	n.a.	n.a.	50.52 at YE25 [?]	Not yet depreciating
Headcount	66,775	75,472	78,450	-11.5% / -14.9% [~]	Post-May cut

Flags: [↑] better, [↓] worse, [~] within normal range, [?] distorted. For cost, debt, capex and obligation lines, ↓ means worse for shareholders. Net cash = cash and marketable securities minus carrying debt (excludes $12.8bn restricted cash). 2Q26 ex-charge margin and advertising not shown (n.a.). YE25 = 31 December 2025.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
4Q26 revenue	$73-76bn	New	n.a. (not found)	AI lifts ads; 1% FX headwind	Strong; +22-27% YoY
2026 total expenses	$175-179bn	Raised $10bn	Charge only	Adds $9.9bn legal charge	Underlying unchanged
2026 capex (incl. FL)	$135-145bn	Low end +$5bn	In line (BofA $140-145bn)	Servers, DCs, network	Implied 4Q $49-59bn
2026 op. income	Above 2025 ex-charge	Maintained	n.a.	Ad growth	Holds
Reality Labs loss	$18-19bn (2026); ~$15bn (2027)	New	n.a.	Shift to AI	Frees ~$3-4bn for AI
2027 capex	None; 'invest aggressively'	None	~$193-205bn street	Plans still in development	Deferred; risk upward
2027 revenue	'strong growth throughout 2027'	Qualitative	n.a.	AI benefits, new products	Supportive

2026 capex range by quarter: $115-135bn (Jan), $125-145bn (Apr, memory pricing), $130-145bn (Jul), $135-145bn (Oct). The low end has been raised three times in a row. In January management said cash generation would fund 2026 and flagged a 'positive net debt balance' as possible eventually. Both are now playing out. Credibility: Stable (it was telegraphed), but the guidance has risked upward every quarter.

Underlying economic performance: strong revenue, with weaker cash conversion. Ex-charge operating income rose 11% YoY while free cash flow went negative, so earnings power holds and the funding burden has moved to the balance sheet.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Ad distribution	Strong	Stable	3.64bn DAP; price/ad +14%	Funds the build
Access to power and sites	Strong	Improving	JV campuses; leases now include energy infrastructure	Secures 2027-28 capacity
Cost of capital	Strong but rising	Weakening	AA-; net debt; CDS record; Class C	Next dollar costs more
Compute supply / silicon	Strong	Stable	Broadcom custom silicon >1 GW, AMD, Nvidia (1Q26)	Supply leverage
AI monetization	Unproven	Improving	Muse 10mn users, 25% daily; API, enterprise	Revenue from 2027
Balance-sheet flexibility	Good	Weakening	4-yr initial JV leases + RVG; $14.7bn backstop	Optionality at a contingent cost

→ 5-10 year view: Meta's moat in ads is intact and AI-enhanced. Its moat as a compute owner rests on cheap capital, and that edge is narrowing as it becomes a net borrower with growing guarantees. The 4-year initial terms on JV campuses keep an exit option, but the RVGs mean Meta still bears the residual-value risk.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Funding / refinancing	Cash-funded, net cash $6.6bn	FCF negative; net debt; Class C	Up	Equity dilution or wider spreads in 2027
Off-balance-sheet guarantees	RVG $28.1bn (YE25)	RVG $41.5bn; exposure $68.4bn	Up	Contingent debt-like claims
Legal cash calls	AG settlement up to $18.6bn	NM $25bn penalty + 15% interest; appeal bond	Up	Competes with capex for cash
Depreciation / GPU life	5.5-yr server life	D&A +44% YoY; CIP $89.5bn to come	Up	Margin drag in 2027-28
Supplier counterparty	CoreWeave/Nebius ramps	Due 2027 $121.4bn; contingent $14.7bn	Up	Meta bears neocloud delivery risk
Capacity supply	Tight (2Q26)	'Flexibility' from scheduled capacity	Down	Less scarcity premium

Concern: Can Meta fund 2027 without stressing credit? **Response:** Sheridan asked; Li cited 'a diverse pool of funding sources' and 'no specific financing plans'. **Evidence:** 3Q FCF -$2.12bn, net debt ~$1.2bn, Class C created; bonds at 87% of par on 30 Sep (fair value $73.31bn vs $84.0bn face; partly rates).

Concern: Is Muse a compute sink? **Response:** Zuckerberg/Li: >10x cost efficiency in a year via off-peak capacity, smaller models, inference optimization. **Evidence:** No unit-cost numbers; total serving costs expected to rise; monetization to start sooner than the usual playbook.

7 Capital, funding and per-share impact

Period	Capex	OCF	FCF	Cash+MS	Debt	Leases not commenced	Commitments
3Q25	19.37	30.00	10.63	44.45	28.83	n.a.	n.a.
4Q25 / YE25	22.1	n.a.	14.1	81.6	58.7	103.77	131.05
1Q26	19.84	32.23	12.39	81.18	58.75	182.88	237.67
2Q26	31.08	31.86	0.78	90.26	83.66	278.99	349.31
3Q26	34.91	32.79	-2.12	82.45	83.67	355.73	454.52

$bn. Capex includes finance-lease principal (Meta definition). 4Q25 capex, FCF, cash and debt from the 4Q25 call; leases and commitments from the 10-K and 10-Qs. Debt = carrying value of senior notes.

What the next dollar costs: the April 2026 $25bn deal priced at 4.55% (2031, T+53bp) to 6.45% (2066, T+147bp), Aa3/AA-. The November 2025 $30bn notes priced at 4.20-5.75% coupons. Meta's 5-year CDS hit a record 108bp in October 2026 (single source). No dated secondary spreads were found for 21-22 October.

Maturities in the next 24 months are small: $2.75bn in 2027 and $1.5bn in 2028. The pressure is the run-rate gap: 4Q26 implied capex of $49-59bn against ~$33bn quarterly OCF, plus $121.4bn of commitments due in 2027.

Off-balance-sheet support: Louisiana (Hyperion; Blue Owl funds 80%, ~$27bn cost, lease from 2029) and Texas/El Paso (~$14bn, lease from 2028) JVs. Each has a 4-year initial lease (renewals to 20 years) plus an RVG; maximum exposure is $68.40bn (equity $4.73bn, leases $18.48bn, funding $3.70bn, RVG $41.49bn). There is also a $10.80bn escrow under infrastructure purchase agreements and $1.53bn of letters of credit.

Per share: the Class C dividend (1:1) is a 2-for-1 split in economic terms. Dilution comes only if Class C is issued for cash; diluted shares were 2,573mn in 3Q26 against 2,572mn a year earlier.

→ Meta's cash engine is intact (OCF ~$33bn a quarter), but capex has outgrown it. The marginal dollar now comes from bonds, partner balance sheets backed by Meta guarantees, and potentially non-voting equity.

8 Monitoring checklist

Five signals

- 2027 capex/expense guide on the 4Q26 call vs ~$193-205bn.
- First Class C issuance or new bond/SPV, and its pricing.
- Change in uncommenced leases and in commitments due in 2028.
- Any change to the 5.5-year server life (D&A sensitivity).
- Muse monetization data (subscriptions, transaction fees) vs serving cost.

Key risks building: Negative FCF meeting peak capex in 4Q; ~$825bn of off-balance-sheet obligations (gross, components may overlap); legal cash calls; RVGs growing faster than equity in the JVs.

Confirmation signals: 4Q FCF back near breakeven; 2027 capex guided with funding plan that does not need Class C; Muse revenue lines launched in 1H27.

Conviction tripwires: Class C issued for cash within 2027; a ratings outlook change from Aa3/AA-; a server useful-life cut; RVG or contingent backstop drawn.

Questions for owners (which were asked on the call, and how they were answered)

- Leases not yet commenced rose $76.7bn in a quarter to $355.7bn, 3.4x year-end. What share starts in 2027, and what annual rent does that add to 2027 expenses? (asked: no) *Why it matters: Sizes the fixed-cost step-up behind P4.*
- You created Class C for capital raising, among other purposes, while saying there are 'no specific financing plans'. Will you commit not to issue Class C for cash in 2027 if capex is in the ~$190bn+ range? (asked: partly, Sheridan; answer partial) *Why it matters: Tests P3 and dilution.*
- Maximum RVGs rose to $41.5bn. At what campus value falls would RVG payments become probable, and what are the RVG thresholds per campus? (credit; asked: no) *Why it matters: Hidden leverage.*
- Implied 4Q capex is $49-59bn against ~$33bn OCF. What net debt do you plan to carry at end-2027, and is AA- a constraint? (credit; asked: no) *Why it matters: Ratings path.*
- $121.4bn of commitments are due in 2027, mostly third-party cloud. How much is CoreWeave/Nebius capacity, and what happens if a supplier delivers late? (asked: no) *Why it matters: Tests P5 and counterparty risk.*
- Muse needs >10x cost efficiency in a year. What is serving cost per daily user today? (asked: Sandler; answer partial, no numbers) *Why it matters: Inference ROI.*

Read-across for Kona: Meta still guides capacity tight through 2027. It is signing 'energy service agreements' and leasing 'energy-related infrastructure', so power bundled with compute is now something a hyperscaler contracts for. Kona can pitch power as an energy service contract, not only as land plus a hall. The structures to copy are short initial terms (4 years) with a residual value guarantee, and a buyer who backstops capacity it resells. Meta's cost of capital is rising, so Kona should expect investment-grade buyers to push risk onto the developer through short terms and RVG caps, and should price debt on the tenant's credit, not the asset.